Credit Risk Analytics

Credit Risk Portfolio Snapshot

- Credit risk in the portfolio is **driven primarily by utilization behavior**,
- A meaningful portion of accounts remain **current but highly utilized**, representing latent risk.
- Exposure is **concentrated**, with higher median credit limits in weaker score segments.
- Product behavior differs:
  - **Cards:** higher delinquency incidence
  - **Lines:** higher exposure and loss severity

Key Implication: Monitoring delinquency alone is insufficient; early warning indicators must be prioritized.

Key Insights & Action Steps

Key Findings

- High utilization accounts (>70%) show elevated delinquency migration risk.
- Median credit limits remain materially high in non-prime score bands.
- New and mid-tenure accounts exhibit greater instability.
- Severe roll accounts represent a small share of volume but outsized risk.

Recommendations

- Introduce utilization-based early warning thresholds
- Apply score- and tenure-based exposure controls
- Differentiate strategies for Cards vs Lines
- Prioritize proactive intervention before delinquency